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China Equity Strategy | Asia Pacific

A-share Sentiment Lukewarm
Amid Policy Vacuum and IPO
Concerns

MSASI softened ahead of July Politburo meeting and the upcoming CXMT IPO. We stay constructive on Hong Kong and continue to see late July and August as a sustainable recovery window. Earnings preview reveals accelerating earnings growth in tech, warranting recovery once global volatility calms down

A-share investor sentiment decreased vs. the previous cycle: Weighted MSASI decreased by 7ppt vs. the prior cutoff date (July 15) to 37%. Weighted MSASI 1MMA also decreased 2ppt over the same period at 57%. Turnover for ChiNext, A-share and margin transaction outstanding declined by 6% (to Rmb667bn), 7% (to Rmb2,677bn) and 6% (to Rmb2,729bn), respectively, vs. the previous cycle, while equity futures turnover increased by 8% (to Rmb734bn). The 30-day RSI was stable over the same period (July 15-22). Consensus earnings estimate revision breadth remained negative although it did improve marginally vs. last week.

Southbound net inflows – US\$1.6bn over July 16-22: MTD net inflows were US\$1.1bn and YTD net inflows were US\$46.6bn (46% of same period last year).

Note: As announced on July 26, 2024, by HKEX, Shanghai Stock Exchange and Shenzhen Stock Exchange, the publication of Northbound daily purchase and sales data was terminated as of August 19, 2024. Northbound daily buying and selling data were last made available on August 16, 2024.

Investors remained cautious ahead of the July Politburo meeting and the anticipated IPO of CXMT, despite continued market stabilization efforts from "national team" in recent weeks. The key focus is whether policymakers will respond to the softer-than-expected 2Q GDP print and persistent domestic demand weakness. **Our China Macro team expects the policy response to be about "speed, not scale."** Policymakers are likely to accelerate the rollout of the remaining ~Rmb2trn in-budget fiscal quota, rather than introduce a supplementary budget, while continuing to prioritize technology self-sufficiency, advanced manufacturing and energy security over broad-based consumption support. Meanwhile, **June property data remained weak**, with primary home sales falling 7% YoY (vs. +1% in May), alongside weaker secondary sales and continued home price declines, suggesting the property sector will remain a headwind to domestic demand in 3Q.

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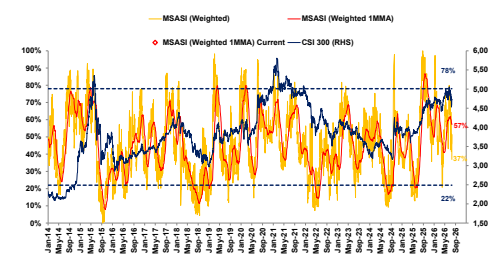
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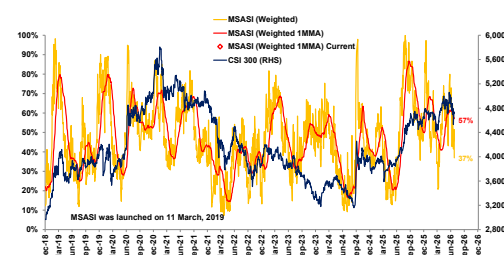


Exhibit 1 : MS A-share Sentiment Indicator:
MSASI weighted and MSASI weighted 1MMA



Source: CEIC, Bloomberg, Wind, RIMES, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 2 : MSASI trajectory since January 1, 2019



Source: CEIC, Bloomberg, Wind, RIMES, MS Research. Data as of July 22, 2026.

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Overview (continued)

We remain constructive on Hong Kong equities and continue to view current levels as an attractive entry point to add exposure. Late July and August remain a critical window for a more sustainable China equity recovery, as key catalysts include: 1) signs that the earnings drag from e-commerce price competition is nearing an end; 2) continued progress in AI commercialization by hyperscalers; and 3) gradual digestion of July's sizeable IPO overhang. Recent positives include Tencent's Hunyuan AI agent launch, encouraging updates on Alibaba's cloud business and EBITDA outlook, and easing volatility following Zhipu's and Minimax's share unlock. **We continue to believe that near-term Hong Kong's market dynamics look more favorable (given aforementioned reasons) compared to the A-share market** (uncertainty around AI related sectors given global volatility, concerns over IPO liquidity cannibalization, etc.). **However, on a longer-term basis, we are strongly convinced that the A-share market tech and innovation opportunities will recover and break new highs** as earnings growth keeps accelerating ([2Q26 Pre-Announcements: A-share Earnings Pressure Eased, While MSCI China Signals Strengthened](#)).

While near-term volatility may persist, **we believe the risk-reward is becoming increasingly favorable as these catalysts continue to materialize**. A more durable market recovery would likely require further stabilization in earnings revisions, continued progress in AI monetization, greater visibility on the Fed's easing path and global rates, evidence of accelerating AI-related capex by major US technology companies, and a further easing of global deleveraging pressures.

Read more:

[China Market-Wise: Global Marketing Feedback – Rising Interest with Uncertain Timing \(1 Jul 2026\)](#);

[China Market-Wise: China Outperforming in a Volatile Market – What's Next? \(9 Jul 2026\)](#)

MSASI Methodology

Related report: [China Equity Strategy: Relaunching MSASI: A New Take on A-share Market Sentiment and Technical Signals \(27 Oct 2025\)](#)

Step 1: Normalizing sentiment metrics

The new MSASI is based on 12 individual indicators, each designed to capture a different dimension of investor sentiment and market activity.

To make these metrics comparable, each is re-scaled using a 100-day moving min-max normalization. This approach helps reduce noise from high-frequency movements and better reflects whether sentiment is improving or deteriorating over the medium term.

Normalization Formula:

$$\text{Normalized Value} = (\text{Latest Value} - \text{Min (Last 100 Days)}) / (\text{Max (Last 100 Days)} - \text{Min (Last 100 Days)})$$

Each normalized series is expressed on a 0-100 scale, where higher values indicate stronger or more active sentiment conditions.

The 12 metrics included are:

- 1. ChiNext Turnover:** Daily trading turnover on ChiNext, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).
- 2. A-share Turnover:** Daily turnover of all A-shares, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).
- 3. Equity Index Futures Turnover:** Daily turnover of equity index futures, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).
- 4. Northbound Turnover:** Daily Stock Connect northbound trading turnover, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).
- 5. Margin Financing Outstanding:** Total margin transaction balances, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).
- 6. New Accounts Registered with the Shanghai Stock Exchange:** Monthly number of new retail accounts registered with the Shanghai Exchange, normalized using the 100-day moving min-max method (available monthly).
- 7. 30-Day RSI (CSI 300):** Relative Strength Index over a 30-day period for CSI 300 (available daily; weekly closing values used).
- 8. Number of Limit-Up A-shares:** Daily count of stocks hitting the 10% upper price limit, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).

9. CSI 300 Futures Backwardation: The percentage difference between CSI 300 futures and spot prices, calculated as $(\text{Futures Price} - \text{Spot Price}) / \text{Spot Price}$, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).

10. CSI 300 Call-Put Ratio: Ratio of open interest in call options to put options, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).

11. Foreign Passive Fund Flows to CSI 300 (1MMA): One-month moving average of daily flows from foreign-domiciled passive funds to CSI 300, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).

12. Earnings Estimate Revision Breadth (3MMA): Three-month moving average of the net proportion of upward earnings estimate revisions vs. downward earnings estimate revisions, based on the Shanghai A Index, normalized using the 100-day moving min-max method (available weekly).

This normalization process ensures that each indicator contributes proportionally, regardless of scale or data frequency, while highlighting directional shifts in sentiment over time.

Step 2: Constructing the Weighted Sentiment Indicator

Once normalized, each of the 12 series is assigned a weight based on its historical explanatory power relative to the CSI 300 Index.

Weights are determined by the R-squared values from a single-factor regression between the metric (relative to its 100-day moving min max) and the CSI 300 (relative to 100MA) performance.

This weighting method gives greater emphasis to indicators that have historically demonstrated stronger correlations with market movements, ensuring that the overall index reflects sentiment components most relevant to A-share performance.

Step 3: Constructing the MSASI (Weighted)

Using the weighted sentiment indicator derived in Step 2, we construct the MSASI (Weighted) as the composite measure of overall market sentiment.

This index is then re-scaled to a 0-100 range, based on its distance from historical high and low values since January 2024.

This scaling allows the indicator to reflect relative sentiment strength over time – where higher readings indicate stronger investor enthusiasm, and lower readings reflect weaker sentiment or risk aversion.

Step 4: Constructing the MSASI (Weighted 1MMA)

To highlight underlying trends and reduce short-term volatility, we apply a one-month moving average to the MSASI (Weighted). The resulting MSASI (Weighted 1MMA) smooths out high-frequency fluctuations, providing a clearer picture of medium-term sentiment dynamics and improving interpretability for tactical or strategic analysis.

Exhibit 3: Weighting of 12 indicators of MSASI, and R-squared of indicators vs. CSI 300 (relative to 100MA)

Indicator	R-sq vs. CSI 300 (relative to 100MA)	Weighting
ChiNext Turnover	12.6%	10%
A-share Turnover	19.7%	15%
Equity Futures Turnover	8.1%	6%
Northbound Turnover	7.6%	8%
Margin Transaction Outstanding	34.3%	15%
SHSE New accounts Registered	14.3%	3%
Earnings Revision Breadth (3MMA)	6.6%	8%
RSI-30D	49.0%	15%
No. of Limit Up A-share	4.6%	6%
CSI300 backwardation	3.9%	4%
CSI300 call put ratio	14.0%	6%
Foreign domiciled passive funds flows to CSI300 (1MMA)	0.5%	4%

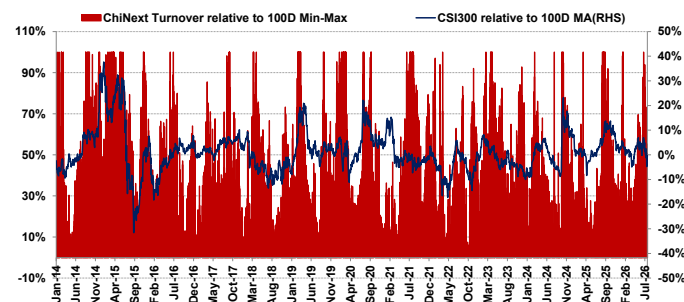
Note: For SHSE new account registrations, although the R-squared with the CSI 300 is high, the data is available only on a monthly basis rather than daily or weekly, so we assign it a relatively lower weight. Similarly, for the CSI 300 call-put ratio, despite its high R-squared with the CSI 300, the data is only available from late 2019 onward, so we also assign it a relatively lower weight.

Source: CEIC, Wind, Rimes, EPFR, Bloomberg, Morgan Stanley Research.

Other items to keep in mind

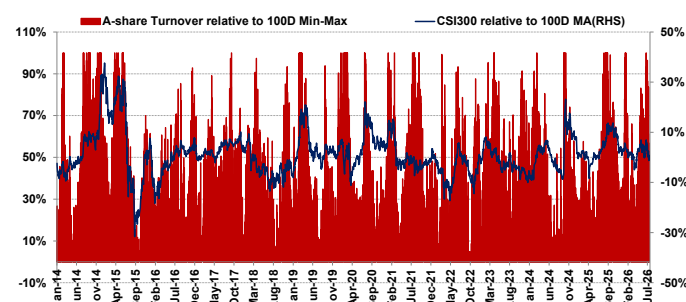
- The charts below show the scaled version of all these metrics as they are used in our MSASI compilation analysis.
- We use data from January 2014 to the present because some of the market-influencing factors were not fully developed before that, i.e., Stock Connect Northbound (program only launched in November 2014).
- Some metrics have gone through regime shifts owing to regulatory changes, i.e., index futures trading, which became heavily regulated as part of market stabilization measures during the 2015 correction. We try to accommodate/normalize, such shifts by looking at relative level to moving 100 days min-max level rather than absolute volume/value.

Exhibit 4: ChiNext turnover adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



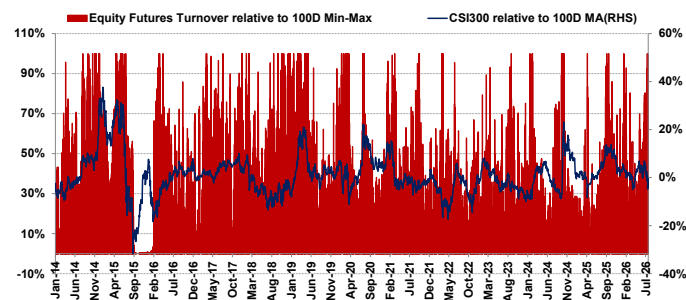
Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 5: A-share turnover adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



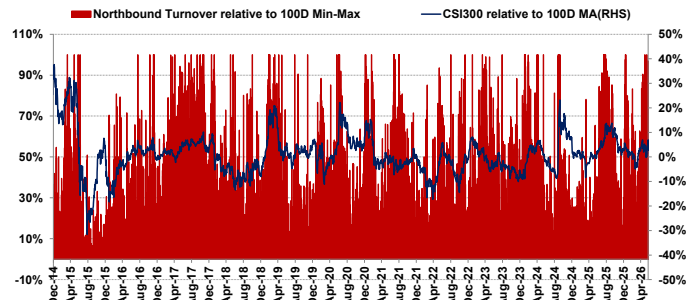
Source: CEIC, Bloomberg, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 6: Equity futures turnover adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



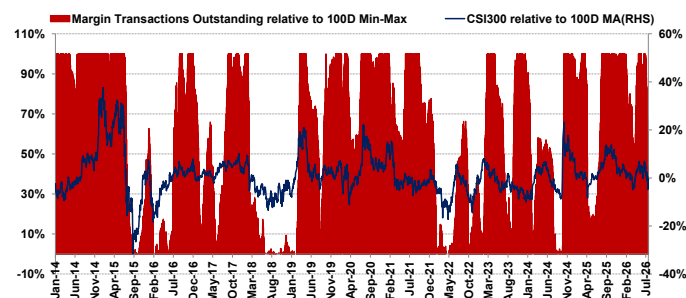
Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 7: Northbound turnover adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



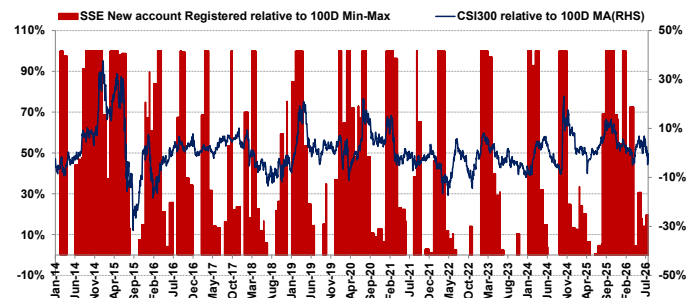
Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 8: Margin transactions adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



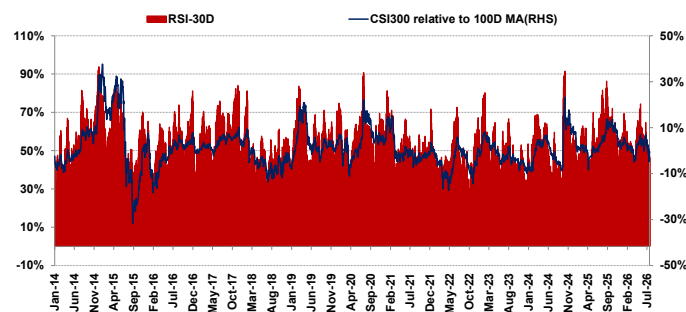
Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 9: SSE new accounts adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



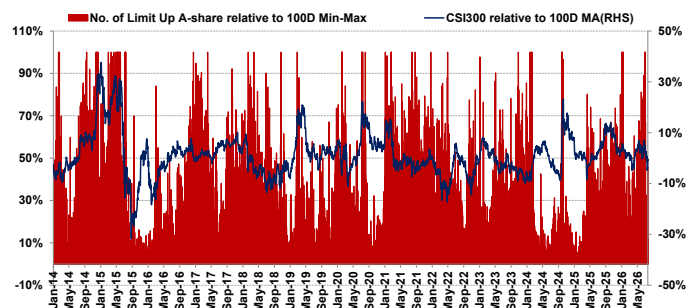
Source: CEIC, Bloomberg, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 10: RSI-30D since January 2014 vs. CSI 300 relative to 100D MA



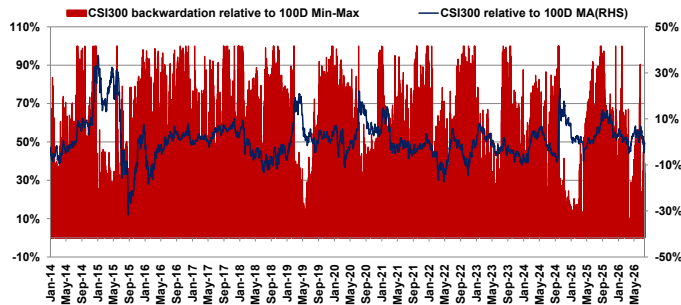
Source: CEIC, Bloomberg, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 11: Number of limit-up A-shares adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



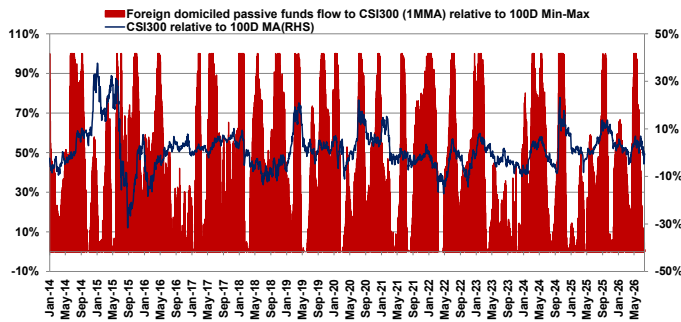
Source: CEIC, Wind, Bloomberg, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 12: CSI 300 future backwardation adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



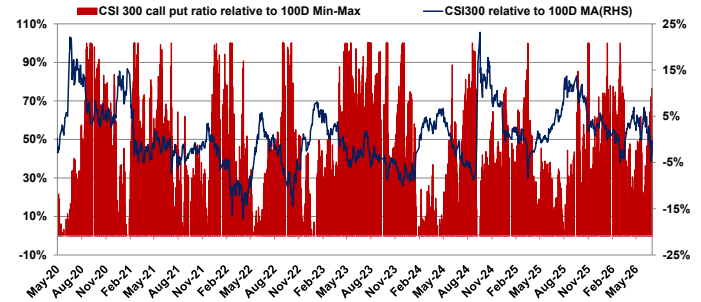
Source: CEIC, Wind, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 14: Foreign domiciled passive funds flows to CSI 300 (1mma) adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



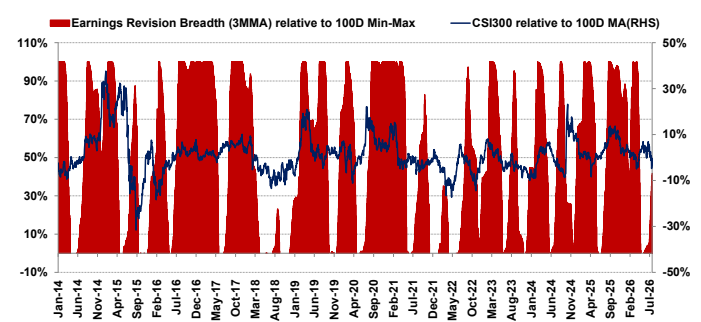
Source: CEIC, Wind, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 13: CSI 300 put-call ratio adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



Source: CEIC, Wind, Morgan Stanley Research. Data as of July 22, 2026.

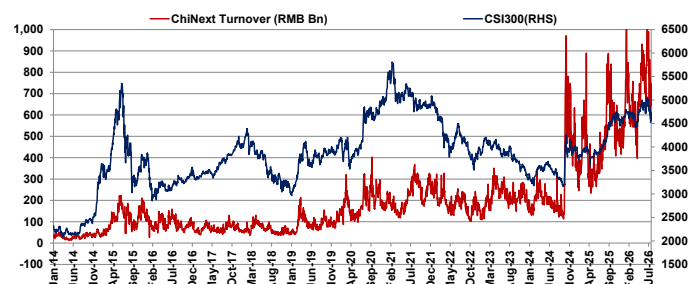
Exhibit 15: Shanghai A-share earnings estimate revision breadth (3mma) adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

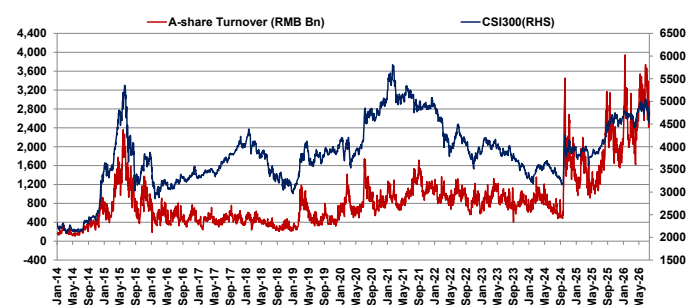
Appendix: A-share Market Data

Exhibit 16: ChiNext daily turnover (RMB bn) trend vs. CSI 300



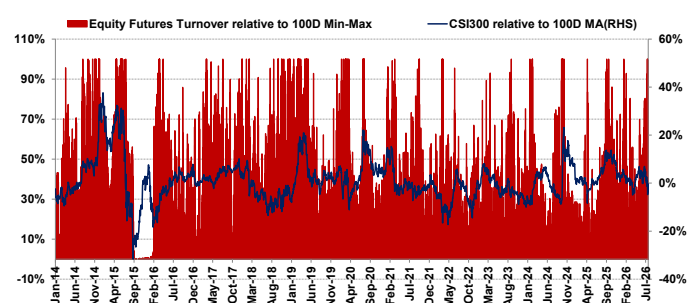
Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 17: A-share daily turnover (RMB bn) trend vs. CSI 300



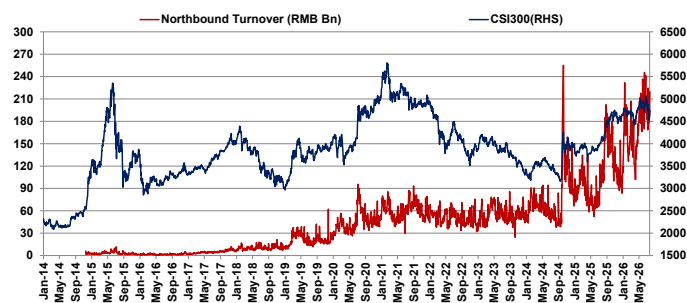
Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 18: A-share equity futures turnover (RMB bn) trend vs. CSI 300



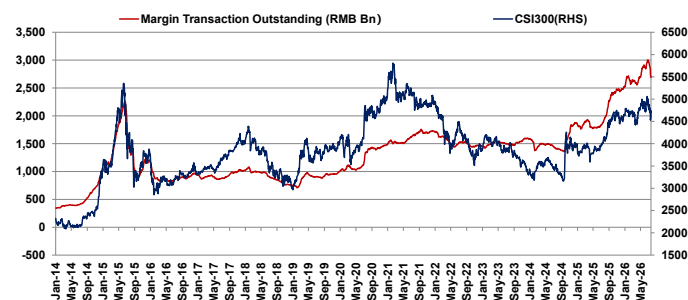
Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 19: Northbound daily turnover (RMB bn) trend vs. CSI 300



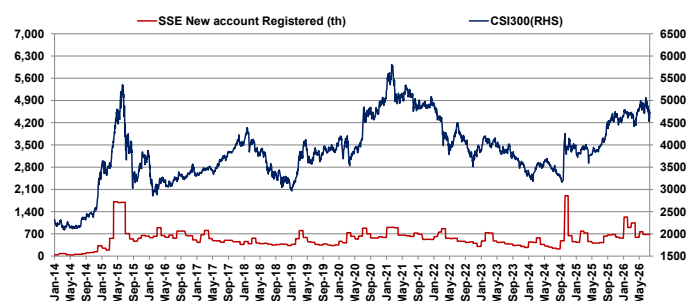
Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 20: A-share margin financing vs. CSI 300

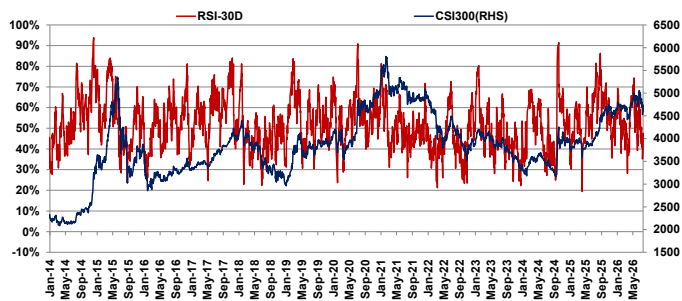


Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

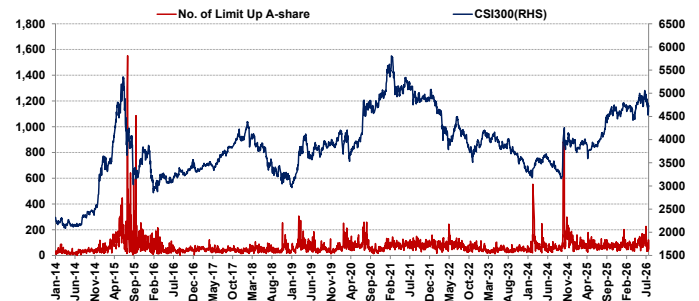
Exhibit 21: SSE new accounts registered (unit thousand) vs. CSI 300



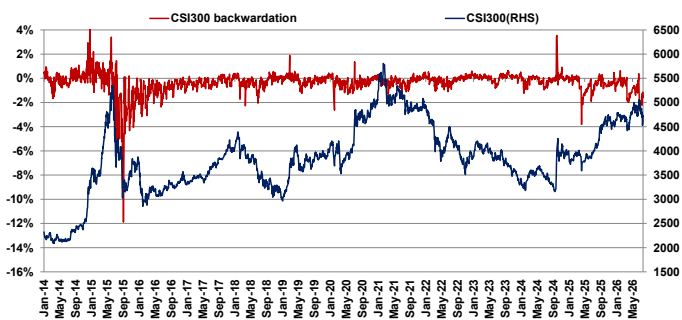
Source: CEIC, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 22: RSI (30 days) vs. CSI 300

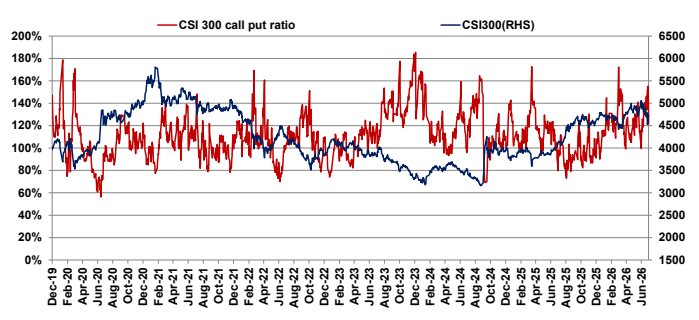
Source: Bloomberg, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 23: Number of A-shares trading at limit up vs. CSI 300

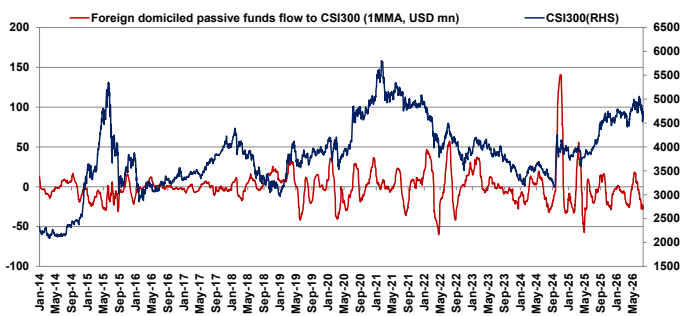
Source: Wind, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 24: CSI 300 future backwardation vs. CSI 300

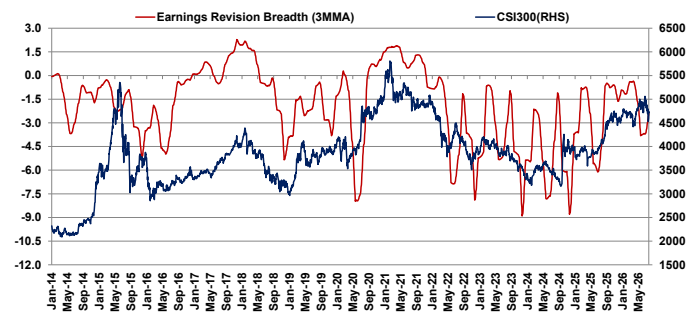
Source: CEIC, Wind, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 25: CSI 300 call put ratio vs. CSI 300

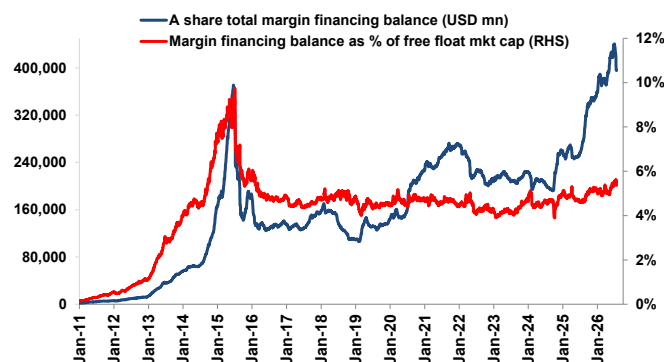
Source: CEIC, Wind, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 26: Foreign domiciled passive funds flows (1mma, USDmn) to CSI 300 vs. CSI 300

Source: CEIC, Wind, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 27: Shanghai A-share earnings estimate revision breadth (3mma) vs. CSI 300

Source: CEIC, Wind, Morgan Stanley Research. Data as of July 22, 2026.

Exhibit 28: A-share margin financing (USD mn)

Source: CEIC, Morgan Stanley Research. Note: Data as of July 22, 2026.

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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